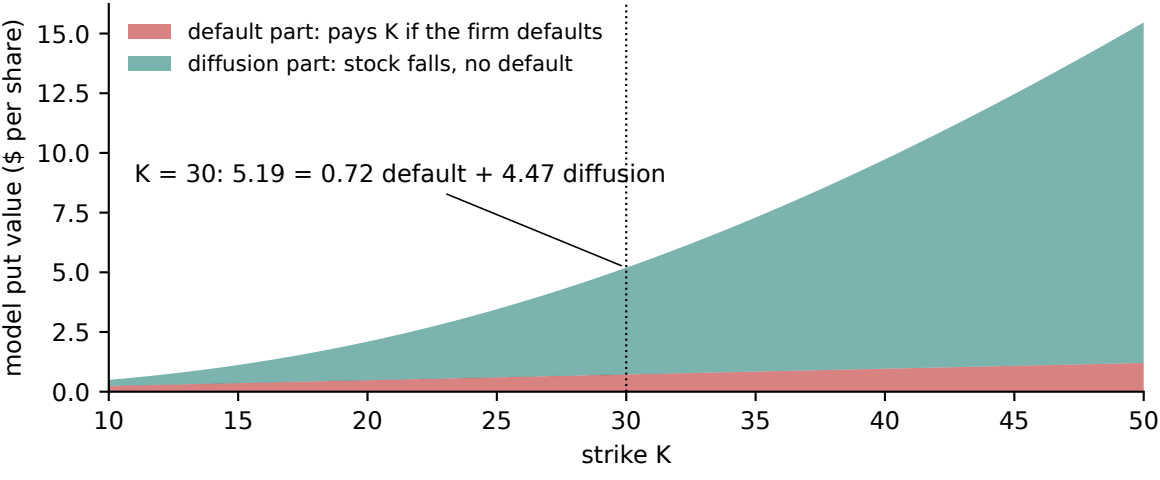
default part: pays K if the firm defaults
diffusion part: stock falls, no default
K = 30: 5.19 = 0.72 default + 4.47 diffusion
model put value ($ per share)
strike K
0.0
2.5
5.0
7.5
10.0
12.5
15.0
10
15
20
25
30
35
40
45
50